

ULTRA SOUND MONEY

Ethereum's Supply Dynamics & Monetary Thesis

121.6M ETH

Current Supply

0.1 Gwei

Current Gas

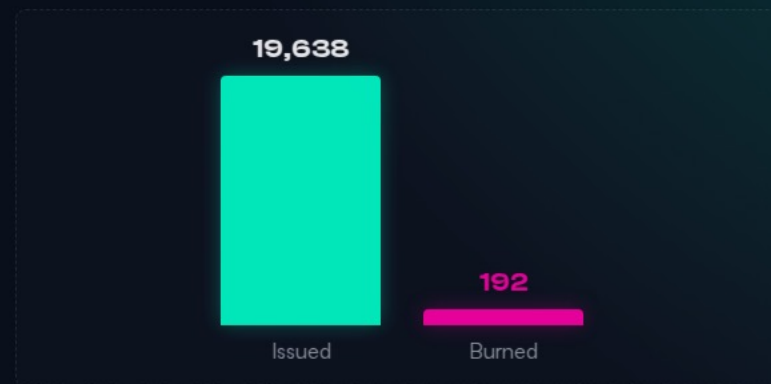
~\$2,243

ETH Price

ETH Supply Growing at +0.83%/Year

Only 192 ETH Burned in 7 Days

- +19,445.89 ETH net change over 7 days
- Current total supply: 121,603,980 ETH
- Issuance offset ratio: 0.01x



Base Gas at Historic Lows

0.1 Gwei Average Suppresses Fee Burn

The EIP-1559 burn mechanism requires network activity. Low gas = low burn = temporary supply inflation.



0.15 ETH

Blob Fees Burned (7d)

22 Gwei

Required for Equilibrium

DeFi and ETH Transfers Dominate

Accounting for 85% of Weekly Fee Burn



Top Entities (7d)

➤ ETH Transfers: 21.7 ETH

➤ Tether USDT: 13.6 ETH

38.9M ETH Staked

2.7% Issuance Rewards with Minimal Tips and MEV



The scarcity engine: Staking contracts currently lock **9.1M ETH** for an average time span of **10.7 years**.

Reward Type	APR
Issuance	2.7%
Tips	0.1%
MEV	0.1%
Total	~2.9%

Long-Term Equilibrium

Projected at 125.7M ETH (1,037K ETH/Yr Balance)

- 200-year projection converging to 125.7M ETH equilibrium.
- **Key Assumptions:**
 - ➤ 39M ETH staked
 - ➤ 22 Gwei base gas
- PoS Issuance: ~2.8K ETH/day
- Target Burn: ~2.2K ETH/day



Securing \$307B+ in Value

ETH at 18.7% of Bitcoin's Market Cap

Total Value Secured (TVS)



Top Ecosystem Assets

- > Dai: \$4.41B
- > Shiba Inu: \$3.51B
- > CryptoPunks: \$2.13B



Key Takeaways

Ultra Sound Thesis Intact, Gas is the Critical Variable

- **Inflationary near-term:** ETH is slightly inflationary (+0.83%/yr) due to historically low gas (0.1 Gwei).
- **Mechanism intact:** The burn mechanism works exactly as designed, but requires sustained on-chain activity to be deflationary.
- **Supply lock:** 38.9M ETH staked creates massive scarcity, validating the PoS security model.
- **Sound fundamentals:** Long-term equilibrium at 125.7M ETH remains structurally sound.
- **Growing premium:** Reaching 18.7% of BTC market cap and securing \$307B+ demonstrates powerful monetary properties.